

Sources and Uses of Funds

Proposed acquisition of the business of Varnholt Climate Services LLC by Varnholt Acquisition LLC
Prepared August 31, 2026 for Zelmivar Bank - SBA 7(a) request

Sources	
Senior loan	\$2,085,000
Cash injection	\$150,000
Seller note	\$240,000
Total sources	\$2,475,000

Uses	
Purchase	\$2,400,000
Working capital	\$100,000
Total uses	\$2,500,000

Transaction summary	
Purchase price	\$2,410,000
Seller note amount	\$240,000
Seller note terms	24-month standby, then monthly payments

Equity injection is verified by the buyer's bank statements for the two months before closing. Any seller note counted toward the injection must be on full standby for the life of the SBA loan. Closing costs and the SBA guaranty fee are financed within the working capital line.

Operating Agreement

of Varnholt Acquisition LLC

A Tazmervale Limited Liability Company

This Operating Agreement is made effective as of August 31, 2026 by the persons listed on Schedule A as the members (each a “Member”) of Varnholt Acquisition LLC (the “Company”).

- 1. Formation.** The Company was formed by filing its certificate with the Secretary of State of the State of Tazmervale. The rights of the Members are governed by this Agreement and the Tazmervale Limited Liability Company Act.
- 2. Purpose.** The Company may acquire and operate businesses and engage in any lawful activity for which limited liability companies may be organized.
- 3. Members and Interests.** The names of the Members and their Percentage Interests are set forth on Schedule A. Allocations of profit and loss and distributions follow Percentage Interests.
- 4. Capital Contributions.** Each Member has contributed the cash or property recorded in the Company’s books. No Member is required to make an additional contribution.
- 5. Management.** The Company is member-managed. Actions outside the ordinary course, including any sale of substantially all assets or incurrence of debt above \$250,000, require the consent of Members holding a majority of Percentage Interests.
- 6. Transfers.** No Member may transfer any interest without the written consent of the other Members, except to a trust for estate-planning purposes.
- 7. Dissolution.** The Company dissolves on the written consent of all Members or as required by law.

SCHEDULE A — MEMBERS AND PERCENTAGE INTERESTS

Kiel McDermott	55%
Zelmivar Holdings LLC	45%
Total	100%

MEMBER: KIEL MCDERMOTT

/s/ e-signed
By: Kiel McDermott

MEMBER: ZELMIVAR HOLDINGS LLC

/s/ e-signed
By: Zelmivar Holdings LLC